

HDFC Established 1977

With deposit and loan products offered in over 2,400 towns and cities, HDFC's cumulative loan disbursements stand at over Rs 2 lakh crore and cumulative housing units financed at 3.3 million

HOME MAKERS

Where there is a vision, there is a way. And H.T. Parekh, founder of Housing Development Corporation and Finance Corporation, did find a way to enable Indians to buy their own home. It was a dream that he saw as a student of the London School of Economics, way back in the 1930s, but managed to fulfil only after retiring from the Industrial Credit and Investment Corporation of India (ICICI), an industrial lending institution, now known as the ICICI Bank.

Indeed, India's foremost mortgage company was literally born out of what is now its biggest competitor. Against the better judgement of many, H.T. Parekh set up HDFC in 1977 with an initial share capital of Rs 10 crore. Even at that time, the eligibility was decided on the borrower's capacity to repay rather than the secured property's value, a principle that many have learnt late. Legend has it that when the company started, one of its earliest employees, Renu Karnad, now the joint managing director, gave away original loan documents to the borrower instead of copies. A year later, H.T. Parekh's nephew Deepak Parekh, then in his late 30s, joined the company from Chase Manhattan, Saudi Arabia. In the initial years, HDFC survived mainly on wholesale money from international agencies to fund its retail lending ac-

"The agenda for affordable housing requires a combined public-private collaboration and a strong political will to enforce change."

1.2 crore
houses for the poor to be constructed by 2014 under the Bharat Nirman programme.



Deepak Parekh 64, Chairman

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tivities and held 100 per cent of the housing loan market till the mid-'80s. It faced its first challenge in 1991 when international funds became tough to come by. With economic liberalisation

in its nascent phase, the Reserve Bank of India loosened its interest rates, which soared to 14 per cent, forcing the company to rethink its business model.

Life at HDFC has never been boring. In a country where mortgage penetration stood at 1 per cent of GDP in 1998, HDFC changed many things in

the industry with new innovations. Among other things, HDFC's presence made the real estate industry more organised and transparent. Then came a new challenge in the late '90s, when ICICI entered the housing finance sector. Aggressive competition forced HDFC to sell its products but it survived to tell its glorious tale.

With the shortage of housing units estimated around 24.7 million units, the future beckons. As Deepak Parekh says: "Affordable housing is not about box-sized, budget homes in far-flung places with no connectivity to work places and little infrastructure." Clearly, Parekh's HDFC has many more dreams to fulfil.

by Malini Bhupta